

25STCV19883 25STCV19883

County: los-angeles

Division: Civil Law and Motion

Department: 617

Hearing date: 2026-08-12

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Case Number: 25STCV19883 Hearing Date: August 12, 2026 Dept: 617

Dept.

617

Date:

8-12-26

Case

#: 25STCV19883

Trial

Date: 5-3-27

DEMURRER

MOVING

PARTY: Defendant, General Motors LLC

RESPONDING

PARTY: Plaintiff, Abraham Pineda Solorzano

RELIEF

REQUESTED

Demurrer

to Fifth Cause of Action in Complaint

SUMMARY

OF ACTION

This

is a lemon law action. Plaintiff Abraham Pineda Solorzano sued Defendant General Motors LLC alleging Defendant failed to promptly replace his 2021 Chevrolet Silverado 1500 or make restitution after it was unable to conform the car to its express warranty after a reasonable number of repair attempts. Plaintiff also alleges Defendant fraudulently induced the sale of the car by concealing the existence of an engine defect.

RULING: Overruled.

Defendant

demurs to the fifth cause of action in Plaintiff's complaint for fraudulent inducement by concealment. It argues that Plaintiff's claim is barred by the economic loss rule and independent tort principle and is not pled with requisite particularity. Plaintiff opposes the demurrer, denying his claim is barred and maintaining the sufficiency of the allegations in support of his fraud claim. Defendant's demurrer is overruled.

A

demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

Plaintiff's fraud claim is not barred by the economic loss rule or the independent tort principle. The law recognizes a separation between tort and contract law. Plaintiffs generally cannot recover tort remedies in a contract cause of action. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 19-20.) The economic loss rule and the independent tort principle are related, but different, concepts that maintain this distinction. The economic loss rule is a specific application of the independent tort principle. (Id. at p. 26.) The independent tort principle permits tort recovery for breach of contract "if the defendant allegedly violated a duty rooted in tort principles that is independent of the parties' contractual rights and obligations and exposed the plaintiff to a risk of harm beyond the parties' reasonable contemplation when they entered into the contract." (Id. at p. 23.) The economic loss rule is more narrow, only barring tort recovery "for negligently inflicted economic losses unaccompanied by physical or property damage" (Id. at p. 38.) Therefore, when, as here, an intentional tort claim like fraud is alleged, the economic loss rule does not apply and only the independent tort principle is at issue. (Ibid.)

The independent tort principle does not bar Plaintiff's fraudulent inducement by concealment claim. Because fraudulent inducement claims concern wrongful precontractual conduct, the "traditional separation of tort and contract law" does not apply. (Rattagan, *supra*, 17 Cal.5th at p. 41.) Indeed, this area of the law "traditionally has involved both contract and tort principles and procedures. For example, it has long been the rule that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud." (Ibid.; Lazar v. Superior Court (1996) 12 Cal.4th 631, 645; Campbell v. Birch (1942) 19 Cal.2d 778, 791.) It logically follows that doctrines, such as the independent tort principle, that serve to preserve the distinction between contract and tort law do not apply to fraudulent inducement claims like the one here. (See also Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 841-43 [economic loss rule does not bar fraudulent inducement claim].) Thus, neither the economic loss rule nor the independent tort principle bar Plaintiff's fraudulent inducement by concealment claim.

Defendant further argues that Plaintiff fails to plead his fraud claim with requisite particularity because he does not allege the content of the omitted facts,

actual and justifiable reliance on the omission, and Defendant's duty to disclose the alleged engine defect.

"The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact." (Rattagan, *supra*, 17 Cal.5th at p. 40.) As with all other fraud claims, fraudulent concealment must be pled with specificity "even though the focus of inquiry shifts to the unique elements of the claim." (Id. at p. 43.) Mere conclusory allegations are insufficient. (Id. at p. 44.)

A duty to disclose may arise if "the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge)." (Rattagan, *supra*, 17 Cal.5th at p. 40.) This circumstance presupposes "a preexisting relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.'" (Id. at pp. 40-41, quoting *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 337.) "If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts . . . the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission." (Id. at pp. 43-44.)

Plaintiff

sufficiently alleges the content of the omitted facts and his reliance on the omission. Plaintiff claims that Defendant omitted the existence of an engine defect in his car and identifies the defect, stating "the

3.0L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in loss of power, stalling, engine running rough, engine misfire(s), failure or replacement of the engine.” [Compl. ¶ 47.] He further alleges that if he “knew about these defects at the time of sale, Plaintiff would not have purchased the Subject Vehicle.” [Id. ¶ 54.] That Plaintiff does not allege who made representations on Defendant’s behalf is immaterial as Plaintiff’s claim is not based on anything Defendant said, but what it did not say. (Vega v. Jones, Day, Reavis & Pogue (2004) 121 Cal.App.4th 282, 296 [“The pertinent question in a concealment case is not who said what to whom”].) And the fact that the warranty indicated that the car might have a defect does not preclude justifiable reliance on the alleged omission. Plaintiff alleges that Defendant was aware that the car actually had a defective engine at the time of sale. The warranty did not disclose this fact. Plaintiff thus sufficiently pleads the content of the omitted facts and reliance.

Plaintiff

also sufficiently alleges that Defendant owed him a duty to disclose the purported engine defect. Plaintiff alleges that on or about April 24, 2023, he and Defendant entered into a “warranty contract” regarding his car. [Compl. ¶ 6.] Such a contractual relationship may support a duty to disclose on behalf of Defendant. (Rattagan, supra, 17 Cal.5th at pp. 40-41.) Defendant’s provision of a warranty to Plaintiff is not a transaction between Defendant and “the public at large” as Defendant provided the warranty directly to Plaintiff. (Id. at p. 41.) Plaintiff further alleges that Defendant had exclusive knowledge of the defect through “non-public, internal data” including: “pre-releasing testing data; early consumer complaints about the Engine Defect to Defendant GM’s dealers who are GM’s agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant GM and its agents.” [Compl. ¶ 51.] Plaintiff has thus alleged the requisite preexisting relationship and duty to disclose.

Defendant’s

demurrer is therefore overruled. Defendant to answer the operative complaint within 10 days.

Defendant

to give notice.